Sycamore Square — Feasibility Study: Operator View by Business

Public version · 18 Oct 2026

The whole project, run by the owners, buying included

Run by the owners, the whole project earns its money back in 14.2 to 16.6 years in the realistic case. That counts everything: buying the property at an assumed price of $3.0M with fees and closing, the base building work, the hall fit-out, design, leasing and holding costs. A typical investment property earns back in about 12 years, and the goal is 10 years or less; only the best case gets there.

Owner-run plan	All one-time money, realistic	Profit a year, realistic	Years to earn back, realistic	Years to earn back, worst / best
Full plan, built efficiently	$15.19M	$1.07M	14.2	never / 4.2
Hybrid (phased)	$13.86M	$903k	15.3	never / 4.2
Full plan (as drawn)	$18.47M	$1.11M	16.6	never / 5.0

Profit is before any loan payments. In the worst case all three lose money: about −$261k, −$313k and −$200k a year. For comparison, leasing everything out and running nothing takes about 23.6 years (see the Landlord View), and the lean hold about 17.5.

> **How to read the rest of this document**
>
> From here on, each business is looked at on its own, with only its own start-up money. For example, the two halls earn back their $3.43M fit-out in about 6 years. Those figures leave out buying the property and the base building work that every business shares, so **they are not the project's earn-back**. For the whole project, use the figures above: 14.2 to 16.6 years in the realistic case. The plans themselves are compared in the Four Development Options doc.

Where the one-time money goes, realistic case

One-time money	Efficient	Hybrid	Full plan
Buying the property at an assumed price of $3.0M, with fees, closing, surveys and inspections	$3.27M	$3.27M	$3.27M
Base building work: roof, heating and AC, fire safety, restrooms, parking, flood, columns	$6.21M	$4.51M	$8.04M
Finishing the halls and kitchens	$3.43M	$2.01M	$3.93M
Adding Hall B and Kitchen B later (year 3)	—	$2.57M	—
Design, permits and a cushion for surprises	$1.06M	$767k	$1.53M
Signing tenants: build-out allowances and broker fees	$747k	$503k	$1.14M
Holding the building and loan interest during the work	$491k	$244k	$569k
All one-time money	**$15.19M**	**$13.86M**	**$18.47M**

Each business on its own

Run as businesses, the two halls and the kids' playground can pay for themselves on their own start-up money; Hall A alone and the fuel station pay back slowly. At realistic numbers the two halls make about $565k a year after their share of the building's costs, and earn back their $3.43M fit-out in about 6 years. The playground operator makes about $193k a year after rent and earns back its $1.1M in about 5.7 years. Hall A alone makes about $111k a year, and a fuel company would earn only about $4 a year for every $100 it spends to build.

Business	Money to start it	Sales a year	Profit a year, realistic	Profit a year, worst / best
Two halls, run by the owners	$3.43M fit-out	$2.68M	$565k after building costs	−$467k / $1.67M
Hall A alone (hybrid, first phase)	$2.01M fit-out	$1.22M	$111k after building costs	−$373k / $684k
Kids' indoor playground, run by a tenant	$1.1M, paid by the operator	$1.10M	$193k after rent	−$6k / $516k
Fuel station, built by a fuel company	$3.8M, paid by the fuel company	$1.74M store sales plus fuel	$166k after ground rent	−$113k / $632k

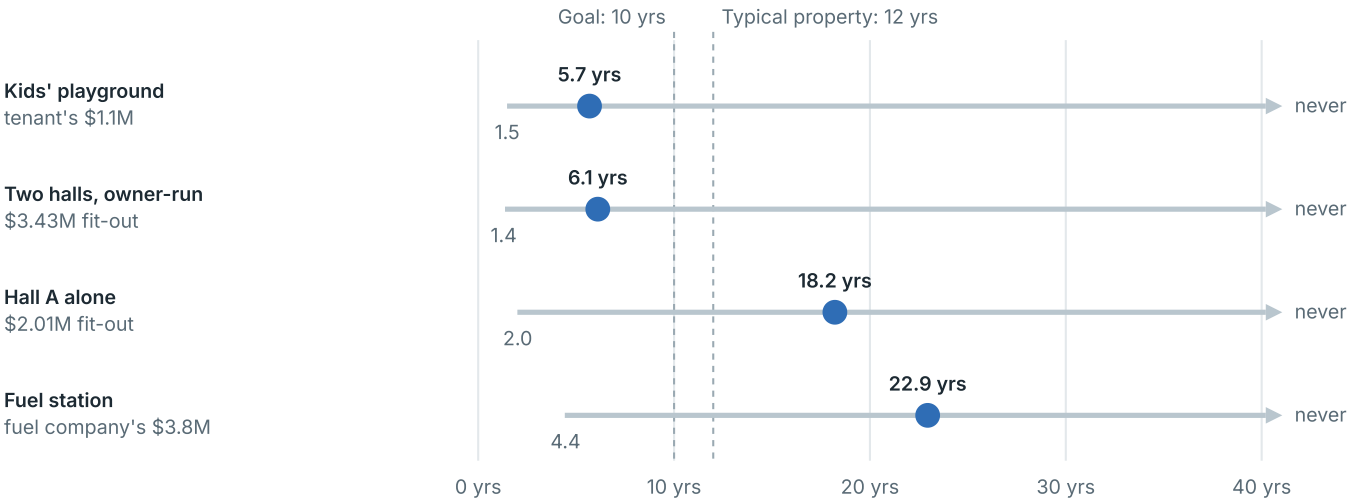
The owners lease the rest of the building and the pads. They do not run these businesses; what matters to the owners is the rent:

Space	Who pays the owners	Rent a year, realistic	Worst / best
About 22 small shops (31,500 SF to rent)	Shop tenants, each with its own fit-out	$361k	$243k / $464k
Flex space (25,559 SF to rent)	Contractors, showrooms, light assembly, storage	$153k	$77k / $207k
Food pad on Summer Ave	A restaurant on a ground lease	$0	$0 / $70k

Rents are for the full plan; the efficient plan's larger shop bays and open flex space bring a little less (shops $335k, flex $125k). Profit here is before any loan payments. "Building costs" means each business's share of the building's property tax, insurance and upkeep; tenants repay theirs on top of the rent. Hall fit-outs are at Memphis prices, with the ownership group hiring each trade directly; the movable walls and the column removal are counted with the building work.

The playground and the two halls earn back their own money fastest

Years for each business to earn back its own start-up money, not the whole project. Dot = realistic; line runs from best to worst case.



Sycamore Square model v2.4, each business on its own, worst / realistic / best · 18 Oct 2026

In the worst case none of them earns its money back. In the realistic case Hall A alone takes about 18 years and a fuel station about 23, past the 12 years of a typical investment property. The shops, flex space and food pad have no bar here: the owners' building work serves every space at once, and the model does not split it by business, so their rent is counted only in the whole-project figures on page 1.

Two halls run by the owners

At 220 events a year, about two a week in each hall, the halls take in about $2.68M and keep about $565k after their share of the building's costs. They break even at about 128 events a year. Most of the money comes from catering and Saturday rentals; weekday events mostly cover staff.

What the halls book	Worst	Realistic	Best
Events a year, both halls, from year 3	120	220	260
Average room rental per event, all days	$4,000	$5,500	$7,250
Guests per event	250	300	380
Events catered in-house, and price per guest	35% at $25	55% at $32	60% at $35
Service charge on catering, half paid to event staff	18%	20%	22%
Kitchen fee when a client brings its own caterer	$500	$750	$1,000

Room rate card, one room	Worst	Realistic	Best
Saturday	$6,500	$8,000	$10,000
Friday and Sunday	$5,000	$6,500	$8,000
Monday–Thursday	$3,500	$4,750	$6,000

About 36% of events fall on Saturdays, 36% on Fridays and Sundays and 27% on weekdays. The average per event sits about 16% below the rate card in the realistic case (22% in the worst, 11% in the best) for off-peak months and dates sold late.

Money in and out each year	Worst	Realistic	Best
Room rental	$480k	$1.21M	$1.89M
Catering	$262k	$1.16M	$2.07M
Service charge on catering	$47k	$232k	$456k
Kitchen fees from outside caterers	$39k	$74k	$104k
Sales	**$829k**	**$2.68M**	**$4.52M**
Food for catered events	$89k	$360k	$622k
Catering staff	$84k	$325k	$560k
Service charge paid to event staff	$24k	$116k	$228k
Event-day staff: setup, cleaning, security	$156k	$264k	$299k
Card fees, marketing, supplies, repairs	$91k	$268k	$407k
Year-round staff	$420k	$380k	$370k
Utilities	$143k	$131k	$119k
Insurance	$60k	$50k	$45k
Leased tables, chairs and kitchen equipment	$70k	$60k	$50k
Running costs	**$1.14M**	**$1.95M**	**$2.70M**
Profit before building costs	**−$308k**	**$724k**	**$1.82M**
Halls' share of building tax, insurance and upkeep	$159k	$159k	$145k
Profit after building costs	**−$467k**	**$565k**	**$1.67M**
Fit-out paid by the owners	$4.97M	$3.43M	$2.33M
Events a year needed to break even, after building costs	266	128	79

The fit-out covers hall finishes, lighting and sound at about $80 / $55 / $36 per SF, and the two kitchens (hoods, grease trap, cold storage) at about $338 / $235 / $164 per SF, at Memphis prices with the ownership group hiring each trade directly. Tables, chairs and kitchen equipment are leased. A movable acoustic wall in each main room, about $235k for both, is counted with the building work.

The market supports the product:

- **Size.** Each 11,000 SF room seats about 650–700 at tables with a dance floor, stage and buffet; together the halls seat about 1,300–1,450. A movable wall splits each room for two 150–350 guest events, so the venue

can run up to four events at once, one very large wedding across both rooms, or one coordinated event. The rooms are column-free once the 4 existing columns are removed.

- **Saturday prices.** Comparable Memphis halls ask about $7,000–9,000 for a 300–400 guest Saturday. The Palace at Cordova asks $7,000 on Saturday, $6,500 on Friday, $6,000 on Sunday and $5,500 Monday–Thursday for 11 hours, and sells dates inside 30 days from $3,500. The Columns ballroom is $8,550 for 10 am to midnight. Premium venues ask more: the Cadre Building $12,200 and Memphis Botanic Garden $10,000. A full room for 650–700 guests rents for $11,000–15,000 at the few venues that size, such as The Kent.
- **Catering prices.** Memphis buffets run $18–35 per guest and plated meals $28–52, plus a 20–24% service charge: Esplanade Memphis charges 20% and The Peabody 23%. Marriott Memphis East lists $34–52 per person.
- **Profit levels.** Catering businesses sold in 2021–25 kept a median of about 23% of sales as profit (BizBuySell). The halls' realistic case keeps 27% before building costs, because room rental, which costs little to deliver, is about 45% of sales.
- **Who books.** Weddings of every background, plus quinceañeras, corporate, church, community and celebration events. Large Arab, South Asian, African and Hispanic weddings and celebrations are among the customer bases; about 1,100–1,200 girls in the metro's Hispanic community turn 15 each year (Census). The largest banquet halls listed in Jackson, Mississippi hold about 350 guests (Zola, Jackson MS), so very large events may also come from there.
- **Bookings.** 220 events a year is a year-3 number for a mixed business, not a wedding-only one. Mixed-use venues run 100–200+ events a year and wedding-only venues 30–60 (MMCG); one industry estimate puts the average venue at 217 (ProjectionHub). Two rooms have only 104 Saturdays a year, so at most about 40% of 220 events can fall on a Saturday. Couples book their venue 12–18 months ahead, so a fair estimate is about 110–140 events in year 1 and 170–200 in year 2. The average US wedding has about 117 guests (The Knot), which is why each room needs its movable wall: without it, bookings could stay near 120–160 a year.
- **Competition.** No hall outside the hotels seating 500 or more was found in northeast Memphis, Raleigh or Bartlett. The nearest are in Cordova and Germantown (FedEx Event Center, about 500 seated; Esplanade, 400) and downtown (The Kent, 600) (Memphis Magazine). The 900-seat ballroom at the former Memphis Vitality Hotel has closed.
- **Capacity cap.** Post capacities for seating at tables, about 1,470 for both halls together. Chairs-only ceremonies for 3,000 or more would push the building into a stricter earthquake-safety class (see the Landlord View risks).

Hall A alone (the hybrid's first phase)

One hall pays back slowly, because its year-round costs are almost as high as for two. At 100 events a year Hall A keeps about $111k after its share of the building's costs, and it needs about 82 events a year just to break even. That is why the hybrid adds Hall B once Hall A books well.

Each year	Worst	Realistic	Best
Events a year	55	100	125
Sales	**$380k**	**$1.22M**	**$2.17M**
Food, catering staff, service charge paid out and event-day staff	$162k	$484k	$822k
Card fees, marketing, supplies, repairs	$42k	$122k	$196k
Year-round staff, utilities, insurance and leased equipment	$453k	$405k	$384k
Profit before building costs	**−$277k**	**$206k**	**$772k**
Hall A's share of building tax, insurance and upkeep	$96k	$96k	$88k
Profit after building costs	**−$373k**	**$111k**	**$684k**
Fit-out paid by the owners (Hall A, Kitchen A, dining)	$2.91M	$2.01M	$1.36M
Events a year needed to break even, after building costs	171	82	51

Hall A covers 28,773 SF: the hall suite, Kitchen A, the reservable dining room and service space. Prices per event are the same as for two halls.

Kids' indoor playground, run by a tenant

An indoor playground (soft play, climbing and party rooms) is the steadiest business here. At $1.10M of sales the operator keeps about $193k a year after paying rent and its share of the building's costs, and it breaks even at about $675k of sales.

Each year	Worst	Realistic	Best
Sales	**$750k**	**$1.10M**	**$1.60M**
Staff	$240k	$319k	$416k
Supplies, marketing, repairs, card fees, insurance	$221k	$280k	$328k
Utilities	$50k	$45k	$40k
Management and other fixed costs	$130k	$120k	$110k
Profit before rent	**$109k**	**$336k**	**$706k**
Rent, at $3.00 / $4.50 / $7.50 per SF a year	$54k	$81k	$135k
Share of building tax, insurance and upkeep	$61k	$61k	$54k
Profit after rent	**−$6k**	**$193k**	**$516k**
Money the operator invests	$1.6M	$1.1M	$0.8M
Sales needed to break even	$765k	$675k	$635k

The investment matches Kids Empire's franchise disclosure: $803,750–$1,765,000 to open 15,000+ SF (Franzy). The least certain number is how much of its sales the operator keeps before rent: 31% here, while entertainment centers with more staff often keep 15–22%. At 20%, profit after rent would fall to about $78k, and earning back the $1.1M would take about 14 years.

The opening is there, but not empty. Urban Air in Cordova charges $24.99 for unlimited play, with parties from $149.99 (parties). Larger active parks and a few smaller toddler open-play spots operate across the metro area, so this center must win on location and on private sessions for event guests' children.

Fuel station, built by a fuel company on a ground lease

A fuel company would build and run the station and pay the owners ground rent. At realistic volumes it keeps only about $166k a year after a $95k ground rent, on a $3.8M build: about $4 a year for every $100 it spends. So a deal is not assured, and the owners should not build or run the station themselves. In the worst case no fuel company signs, so the plans count no ground rent.

The fuel company's year	Worst	Realistic	Best
Gallons a month	60,000	100,000	140,000
Fuel profit per gallon, after card fees	26¢	35¢	41¢
Fuel profit	$187k	$420k	$689k
Store sales	$1.08M	$1.74M	$2.64M
Store profit on those sales (30% / 35% / 38%)	$324k	$609k	$1.00M
Store running costs: staff, utilities, upkeep	$624k	$768k	$900k
Profit before ground rent	**−$113k**	**$261k**	**$792k**
Ground rent to the owners	$0 (no deal)	$95k	$160k
Profit after ground rent	**−$113k**	**$166k**	**$632k**
What the fuel company spends to build	$5.0M	$3.8M	$2.8M

To keep $10 a year for every $100 it spends, a fuel company would need about 150,000 gallons a month at realistic margins, about the national average. National 2024 averages were 150,157 gallons a month, a 43.5¢ margin per gallon (35.2¢ after card fees) and $248,201 of store sales a month (NACS State of the Industry). In 2025 margins averaged over 40¢ (NACS Magazine). Competition is heavy: thirteen stations sit within about 1.4 miles of the I-40 Sycamore View exit (iExit).

Ground rent is about $80k–$130k a year from a regional operator and $150k–$200k from a national brand; that range is a planning judgment. Murphy USA in Murfreesboro pays $200k a year. The lease must make the fuel company responsible for its tanks, spills and cleanup. Tennessee charges $125 a year per tank compartment; the state suspended those yearly fees for five years from 1 July 2021, so check their status now (TDEC). Gasoline tax is 27.4¢ a gallon (MTAS).

Shops, leased to small tenants

In every plan the owners lease the shops; they do not run them. About 22 shops along the north and east walls rent 31,500 SF in the full plan; the efficient plan makes 12 larger bays instead. Each tenant pays rent plus its share of the building's tax, insurance and upkeep, and builds its own fit-out with help from the owners.

What the shops bring the owners	Worst	Realistic	Best
Rent per SF a year	$11.00	$13.50	$16.00
Share of the 31,500 SF leased	70%	85%	92%
Shop rent a year, full plan	**$243k**	**$361k**	**$464k**
Shop rent a year, efficient plan (larger bays)	$232k	$335k	$435k

One-time money that makes the shop and flex space rentable, full plan	Worst	Realistic	Best
New shop fronts	$837k	$551k	$353k
Walls between tenant spaces	$785k	$533k	$361k
Fit-out help for tenants	$1.10M	$908k	$684k
Leasing commissions	$120k	$234k	$365k

These items also serve the flex space and, for fit-out help, the playground; the model does not split them by space. They are already inside the whole-project figures on page 1.

Rent against the market. Memphis retail asks about $14.20 per SF on average with about 5% vacancy in 2026 (Marcus & Millichap via REBusiness). Nearby, 6343 Summer Ave asks $14.40 per SF with some building costs included, and Shelby Crossing II asks $10–11 plus $3.68 of tax, insurance and upkeep. The study's $13.50 at 85% leased sits below the citywide average because these shops are deep in the site, behind other buildings. Big-store vacancy rose with furniture move-outs and the IKEA Cordova closing (Marcus & Millichap 3Q26).

A typical 1,500 SF shop tenant

A 1,500 SF shop needs about $252k of sales a year to afford realistic rent. That suits service shops, not fashion. A common rule of thumb keeps rent plus building costs near 10% of a shop's sales; restaurants nationally spend about 5–6% (National Restaurant Association).

For a 1,500 SF shop	Worst	Realistic	Best
Rent per SF a year	$11.00	$13.50	$16.00
Share of building tax, insurance and upkeep per SF	$3.33	$3.32	$3.05
Total paid to the building each year	$21.5k	$25.2k	$28.6k
Sales needed a year, at 10%	**$215k**	**$252k**	**$286k**

Shops that fit these numbers and the event traffic: bridal, formalwear and tailoring; salons, nails and henna; bakeries and cafés; halal grocery and butcher; florists and event rentals; pharmacy and medical; phone and tax services. In the efficient plan the shops are larger bays that rent for about $0.50–1.00 per SF less.

The risk is lease-up. No Memphis data was found on how fast redeveloped centers lease up, so the study assumes 2–3 years, and the worst case leases only 70% of the shops. In the lease-everything plan, 70% of shops and 50% of flex leased cuts the owners' profit by about $145k a year (Landlord View risks). To check before committing: a local leasing broker's view of rents and timing.

Flex space, leased to trade and storage users

About 25,559 SF, with its own west entrance, is held as flex space for contractors, showrooms, light assembly and storage users, who mostly need clear height, a roll-up door and parking. The full plan splits it into rentable units; the efficient plan leaves it open until it is leased.

What the flex space brings the owners	Worst	Realistic	Best
Rent per SF a year	$6.00	$7.50	$9.00
Share of the 25,559 SF leased	50%	80%	90%
Flex rent a year, full plan	**$77k**	**$153k**	**$207k**
Flex rent a year, efficient plan (left open until leased)	$70k	$125k	$184k

Rent against the market. Flex space averages $7.49 per SF in Memphis and $10.50 in the Northeast area (Cushman & Wakefield Q3 2026). The study's $7.50 is the citywide average, below this part of town, which leaves room for the deep-site location.

Why there is no tenant sales test here. A shop pays its rent out of sales made on site, so its rent can be checked against the sales it needs. A flex tenant mostly earns its money elsewhere: a contractor on job sites, a storage user from its own customers. Its rent is a cost of space, so the test is the market rent above and how fast the space leases. The worst case leases only half of it.

Food pad on Summer Ave, a restaurant on a ground lease

The 5800 Summer pad (1.353 ac) beside Summer Avenue could take a restaurant that builds its own building and pays the owners ground rent. The study counts it only in the best case, at $70k a year, for three reasons: the study has no restaurant lined up; the same pad is the fallback site for the fuel station (layout F2); and TDOT is widening Summer Avenue past it until June 2028 (TDOT), which affects its driveways.

The food pad	Worst	Realistic	Best
Ground rent to the owners	$0	$0	$70k
Sales a restaurant needs to carry that rent, at 5–6% of sales	—	—	about $1.2–1.4M

What it would add. In the lease-everything plan, adding the pad in the realistic case adds about $62k a year to profit and shortens the earn-back from 23.6 to 21.6 years (Landlord View, ways to improve it). In the owner-run plans it adds the same rent to a larger profit, so the effect on their earn-back is smaller.

Why it cannot go further at this stage. The study has no build cost or sales data for a restaurant on this pad, and a restaurant's own numbers depend on the brand. Until a restaurant or a restaurant broker shows interest, it stays a best-case upside. To move it forward: ask a local restaurant broker, ask the City whether 5800 Summer can be leased or sold on its own, and ask TDOT how the widening affects its driveways. The Engineering and City package carries both questions.

What each business can afford to pay the building

The kids' playground can pay the rent the plans assume, and at today's Memphis hall prices an outside hall operator can pay about the $2.00 per SF the lease-everything plan assumes. The owners still keep far more by

running the halls themselves.

Business	What it can afford, realistic case	What the plans assume
Outside hall operator	About $1.88 per SF a year if it wants 15% a year on its own fit-out (about $3.2M after the landlord's help); about $5.20 per SF at 10% a year.	$2.00 per SF from an outside operator, in the lease-everything plan only. Best case up to the $8.00 per SF market ceiling.
Kids' playground	Up to about $6 per SF a year while still keeping 15% a year on its $1.1M	$4.50 per SF
Fuel company	Little: before any rent it keeps about $7 a year per $100 it spends at 100,000 gallons a month	$95k a year
1,500 SF shop	$13.50 per SF if it sells about $252k a year	$13.50 per SF
Flex user	About the Memphis average of $7.49 per SF; up to about $10.50 in the Northeast area	$7.50 per SF
Restaurant on the food pad	$70k a year of ground rent if it sells about $1.2–1.4M a year	Nothing, except $70k in the best case

In the owner-run plans no rent changes hands for the halls. The halls' profit after building costs, about $565k a year in the realistic case, goes straight to the owners.

Assumptions and sources

Volumes, prices and cost shares are planning numbers built from the sources below, opened on 18 October 2026. They are not operator quotes; replace them with a signed operator's own numbers before committing money. Loan payments and each operator's own income taxes are not included.

Whole project. The owner-run figures on page 1 come from the Sycamore Square model v2.4, the same numbers as the Feasibility page and the Four Development Options doc. Every plan includes buying the property at an assumed price of $3.0M in every case, plus fees, closing costs, surveys and inspections (about $3.27M in the realistic case). The price is a planning assumption only.

Hall bookings. 220 events a year across both rooms is the settled number from year 3, for a mixed business: weddings plus quinceañeras, corporate, church, community and cultural events. The model starts at 35% of it in year 1 and 80% in year 2. Sources: MMCG venue market report, ProjectionHub, The Knot 2026 Real Weddings Study and CDC marriage rates.

Hall prices. Rates come from The Palace at Cordova, The Columns, the Cadre Building, Memphis Botanic Garden, The Kent, Esplanade Memphis, The Peabody and Marriott Memphis East. Across these venues Friday and Sunday run about 80% of Saturday, and Monday–Thursday about 60%.

Hall costs. Catering costs run 28–35% of catering sales for food and 25–35% for labor (Galley). Profit levels come from BizBuySell. Southeast restaurant and kitchen build-outs run $250–450 per SF at national prices (Terrapin); this study converts them to Memphis prices (city cost index 89.4, RSMeans Q4 2025), with the ownership group hiring each trade directly. The movable walls are an allowance of about $150k per room at national prices, to confirm with a supplier quote.

Who books. Demand is weddings of every background plus quinceañeras, corporate, community and celebration events. The metro's Hispanic population by age comes from the Census. Venue sizes come from Memphis Magazine, and regional halls are listed at Zola, Jackson MS.

Kids' playground. The investment range comes from Kids Empire's franchise disclosure (Franzy). Local prices come from Urban Air Cordova.

Fuel. Industry averages come from the NACS State of the Industry and NACS Magazine. Build costs come from MMCG, and taxes from MTAS. Tank fees are on TDEC's fees and new tanks pages. Nearby stations are counted on iExit. Murphy USA, Murfreesboro is a ground-rent example. The ground rent follows the plans: none in the worst case, $95k realistic, $160k best.

Shops and flex. Retail rents and vacancy come from Marcus & Millichap (via REBusiness, and the 3Q26 report) and from nearby listings at 6343 Summer Ave and Shelby Crossing II. Flex rents come from Cushman & Wakefield Q3 2026. Occupancy costs for restaurants come from the National Restaurant Association. The 10% figure for shops is a rule of thumb.

Food pad. The $70k best-case ground rent and the $62k effect come from the Sycamore Square model's lease-everything plan. The Summer Avenue widening is on TDOT's project page (June 2025 to June 2028).

Building costs per business. Each business's share of tax, insurance and upkeep comes from the Sycamore Square model. The halls and shops use the efficient plan's share, about $3.32 per SF a year in the realistic case. The playground is carried at $3.40 / $3.40 / $3.00 per SF, close to the lease-everything plan's share.